

Paradox of financial accessibility

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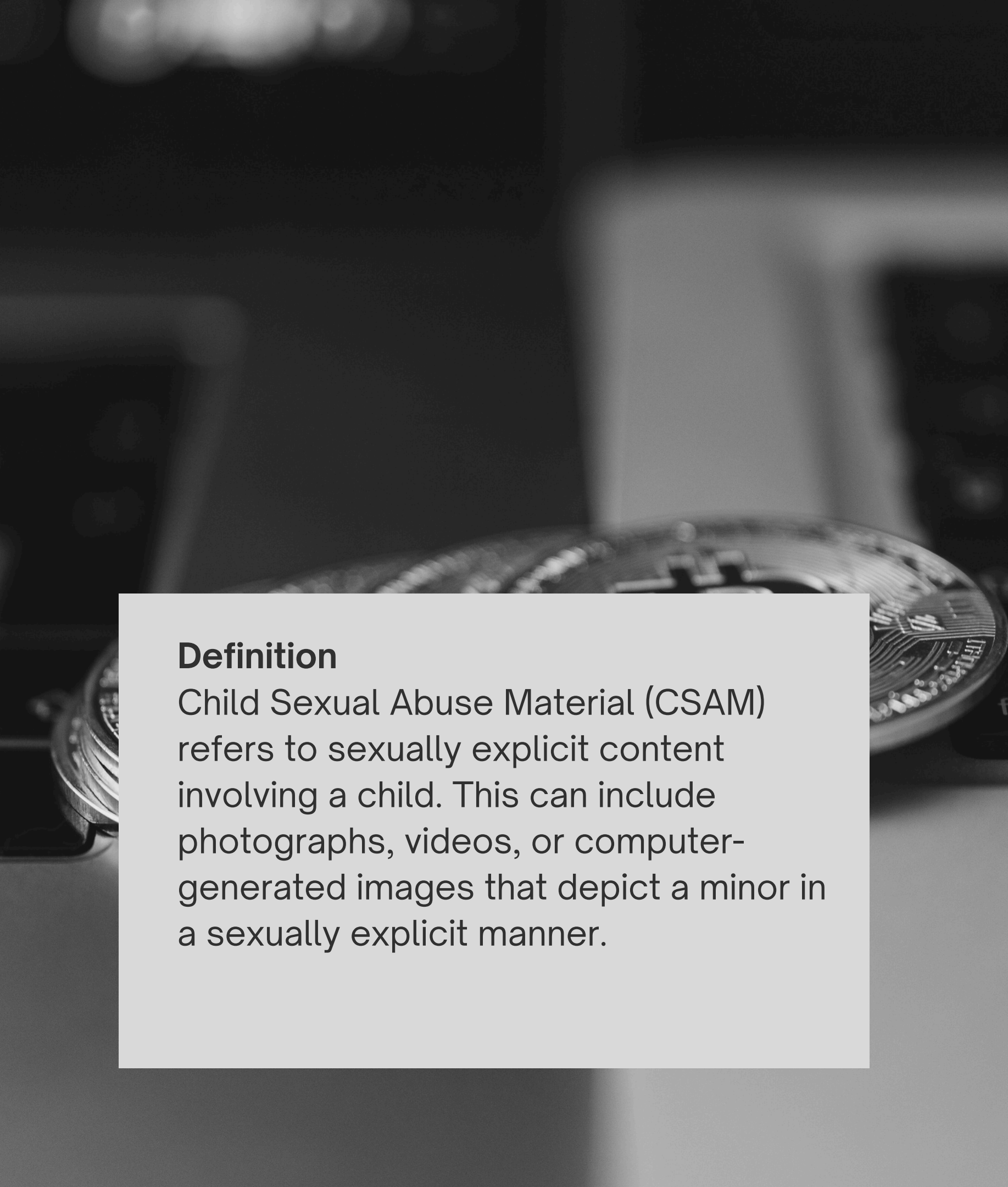
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How fintech and AI impacted fincrime



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Definition

Child Sexual Abuse Material (CSAM) refers to sexually explicit content involving a child. This can include photographs, videos, or computer-generated images that depict a minor in a sexually explicit manner.

Online Market for Child Sexual Abuse Material (CSAM) and the role of finance

- Historically has been limited to non-commercial exchanges, but maturity of digital finance transformed it into a commercial activity
- In USA 79% of child sexual exploitation or CSE is for monetary gain (ICE.gov, 2024)
- Latest innovation are attractive for criminals, making finance enterprises as facilitators of exploitation (Stevenson and Fry, 2025)
- Finance service providers have dual role: unintentional infrastructure and capacity to mitigate (Sartika et al, 2025)

Introduction

Financial Action Task Force (FATF) is an intergovernmental organization established in 1989 to set global standards for combating money laundering, terrorist financing, and proliferation financing. Headquartered in Paris, it works to protect the global financial system by promoting legal, regulatory, and operational measures

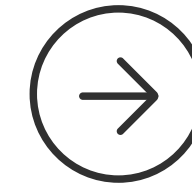
Category	Red Flag Indicators
Geography	Developed $\rightarrow$ Developing flows; High-risk hotspots.
Demographics	Massive age gaps; No logical relationship.
Payments	Even amounts (\$50, \$100); Multiple low-value "micro-tips."
Timing	Midnight/Early-hour bursts; Frequent, irregular bursts.
Platforms	Webcam/Livestream sites; OnlyFans/TikTok "gifting."
Metadata	Social handles; Explicit memos; Date/Time stamps.
Software	VPN/Proxy buys; Encryption apps; Spyware/Surveillance.
Cash-Out	Instant liquidation; Rapid P2P layering; Structured deposits.

Typologies



RQ1

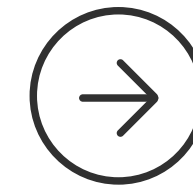
How did the evolution of digital finance over time and space impacted commercialization and prevalence?



Literature review

RQ2

How is AI currently being utilized to detect and combat these illicit financial flows?

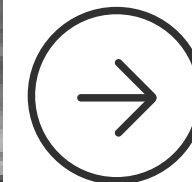


Case study
Interviews and
secondary data

Methodology

Impact across time

Technological Advancements that Transformed CSAM market to commercial



Digital smurfing (Whisker and Lokanan, 2019)

Criminals can load funds into multiple accounts using a mobile device, less detectable than physically moving cash

E-wallets and Money Transfer Services

Benefits include easy registration and cash out options without a bank (Putri et al., 2025)

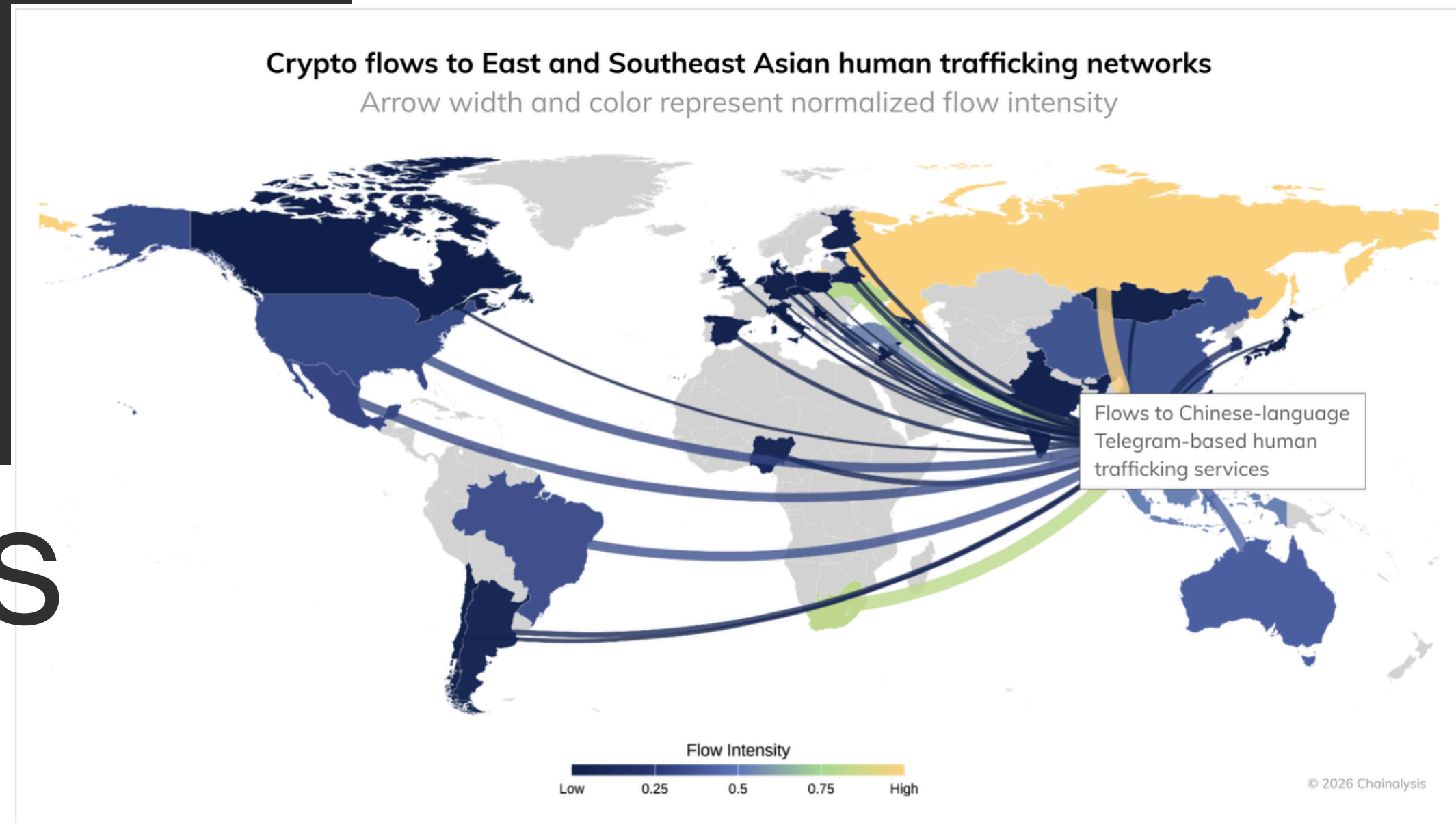
Cryptocurrency

Payments became not only transactional but also pseudonymous (Arnone et al, 2025)

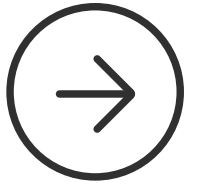
North-South dynamic

- Europe, US, UK, Australia mostly developed countries are buyers (FATF, 2023; Chainalysis, 2026)
- Sellers come from poor countries, most prominent is Philippines in Southeast Asia, among others
 - But here, crypto is less preferred
 - Money transfer businesses are popular because of strong remittance network from overseas employment (Celiskoy et al., 2023)
- Netherlands host CSAM majority in Europe and 30% globally (Stevenson et al., 2024)

Impacts across space



Case study



Company A

- Compliance software provider in Southeast Asia
- Founded in 2022 to combat OSEC and human trafficking
- Provides AI-powered transaction monitoring tool to banks, remittance companies and payment platforms

Company B

- AI company subsidiary of a major European banking group
- Specializes in AML technology for banking
- Creates client-based risk scores and provides network analysis

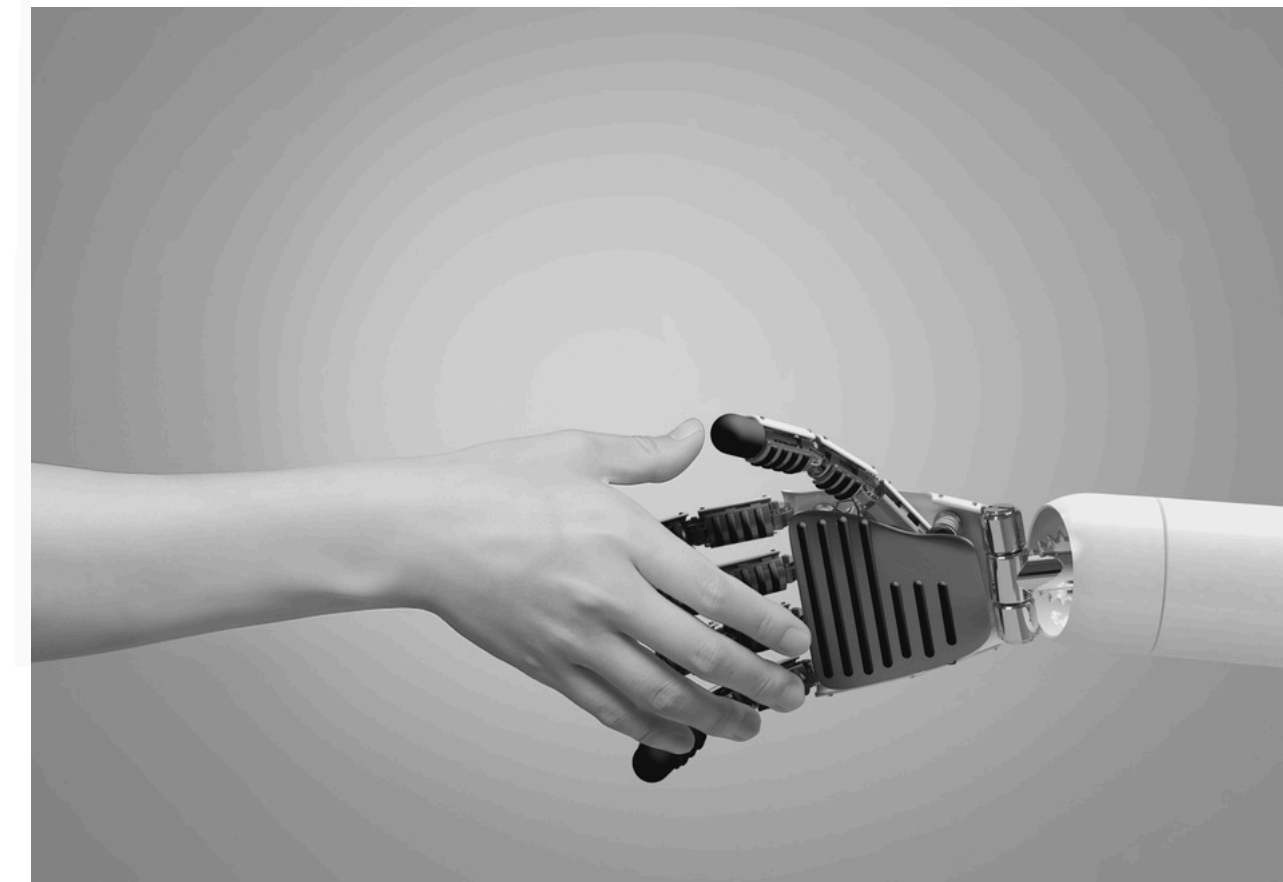
Hybrid use of rules-based reporting and machine learning

RULE BASED ONLY

AI BASED ONLY



- *Company A: So, we use a combination of, you know, fixed rules, right, so thresholds... but we will combine that with supervised and unsupervised models, right, because what we're trying to do, right, is identify behaviors that are outlying behaviors"*
- *Company B: [W]e are currently in our proposition, combining a bit legacy technology, which is more rules-based... with artificial intelligence. And we are making some kind of a pyramid of it, where we can enable banks to hibernate quite a lot of the noise coming out of typical rule-based systems... and also a number of insights that we just are bringing to the surface, thanks to artificial intelligence, because there you will look at more complex patterns in money laundering"*

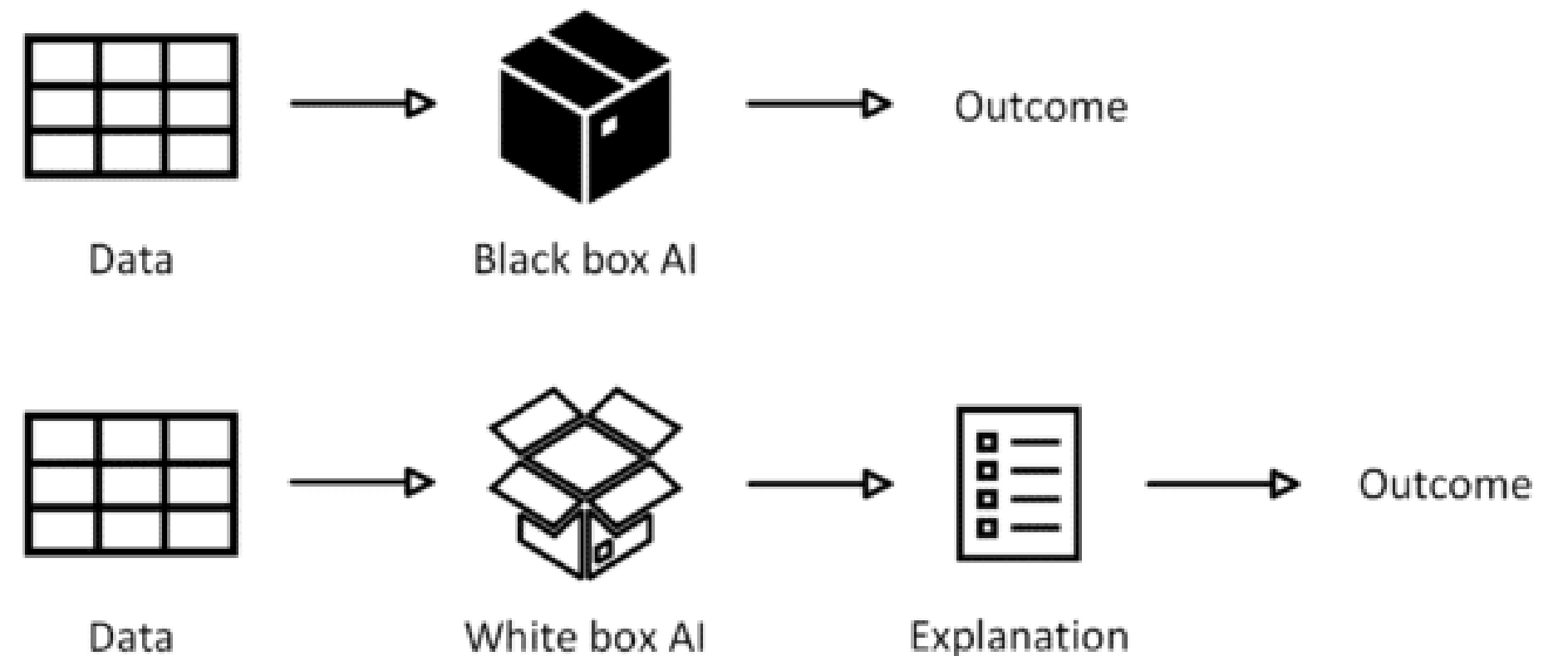


More complex models have explainability issue

Company A avoids unsupervised models

Company B uses Shapley values from game theory to estimate which factor has the highest weight in the result

- Reports, however, they are not intuitive for business users
- Scholars argue for stakeholder-oriented explainable AI (topic of author's research) see Lipton (2018) and Rudin (2019)
- Response of company B is to use LLM but this risks inadvertent opacity issue due to hallucination (Ji et al., 2023; Stohl et al., 2016)



Conclusions



- Digital technology in telecoms and finance go hand-in-hand
- Perpetual cat and mouse game according to company A
- As criminal typologies evolve so must systems
 - Case studies showed how AI is being utilized against OSEC and other crimes
- Finance industry must be involved because platforms are used to disguise origin of money (Stevenson and Fry, 2025; Hendra, 2024)
- Legal experts suggest stronger KYC (Santoso et al., 2025) but this introduces contradiction again with accessibility